Tax Due Diligence Report – Series B Financing

Target: Brightloop Software GmbH, Munich. Lead investor: Northwind Ventures Fund IV LP (USA). Round size: EUR 35m. Report date: 2 October 2024. Closing: 12 November 2024.

Executive summary

The most significant tax exposure is the potential forfeiture of corporate tax loss carryforwards of approx. EUR 21m following repeated ownership changes. Further points concern the research allowance, invoicing and permanent establishment risk.

Area	Risk	Indicative exposure
Loss carryforwards (§ 8c / § 8d KStG)	High	approx. EUR 6.3m future tax
Research allowance	Medium	EUR 0.6m (2023 claim)
Permanent establishment	Medium	FR / NL
VAT / invoicing	Low	Process risk

1. Ownership history and tax losses

Corporate tax loss carryforwards amount to approx. EUR 21m at 31 December 2023. Through the Seed (2020), Series A (2022) and Series B (2024) rounds, more than 50% of the shares changed hands within five years (see cap table, document 02).

Management intends to rely on the continuation-loss rule (§ 8d KStG). Since the Series A, the company has shifted its focus from small logistics firms to enterprise customers and launched a new route-optimisation product line in 2023. Documentation of business continuity is incomplete.

2. Research allowance

Research allowance claims were filed for 2022 and 2023 (approx. EUR 0.6m each). A BSFZ certificate was obtained for the 2022 project only; the application for the 2023 project (AI-based scheduling engine) has not been submitted.

3. Employee participation

A virtual stock option plan covers 45 employees. Three senior hires received real shares with deferred taxation under § 19a EStG.

4. VAT and invoicing

SaaS subscriptions are invoiced through Stripe Billing as PDF invoices. Approx. 45% of revenue is with German business customers; the remainder is cross-border B2B under the reverse-charge mechanism. No structured e-invoice output is set up.

5. Permanent establishment

Six employees work permanently from France (4) and the Netherlands (2). Some of them negotiate customer contracts, which creates a risk of permanent establishments.

6. Open points after closing

- Build a defence file for the loss carryforwards
- Submit the BSFZ application for the 2023 project
- Assess permanent establishment risk for remote employees